22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine months ended September 30, 2017 and 2016 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won and thousands of shares, except per share data)	September 30, 2017		September 30, 2016	
	3 Months	9 Months	3 Months	9 Months
Profit attributable to owners of the Parent company	₩11,039,771	₩29,328,245	₩ 4,408,790	₩15,498,474
Profit available for ordinary shares	9,694,653	25,753,240	3,864,240	13,584,284
Weighted-average number of ordinary shares outstanding	120,657	121,514	123,447	124,939
Basic earnings per ordinary share (in Korean won)	₩ 80,349	₩ 211,936	₩ 31,303	₩ 108,728

(2) Preference shares

(In millions of Korean won and thousands of shares, except per share data)	September 30, 2017		September 30, 2016	
	3 Months	9 Months	3 Months	9 Months
Profit attributable to owners of the Parent company	₩11,039,771	₩29,328,245	₩4,408,790	₩15,498,474
Profit available for preference shares	1,345,118	3,575,005	544,550	1,914,190
Weighted-average number of preference shares outstanding	16,776	16,989	17,459	17,829
Basic earnings per preference share (in Korean won)	₩ 80,181	₩ 210,433	₩ 31,190	₩ 107,363

(B) Diluted earnings per share

The Company does not have potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine months ended September 30, 2017 and 2016.

23. Cash Generated from Operations

Adjustments and changes in assets and liabilities arising from operating activities for the nine months ended September 30, 2017 and 2016 are as follows:

- Adjustments

(In millions of Korean won)	2017	2016
Adjustments for:		
Income tax expense	₩ 9,559,965	₩ 5,527,095
Financial income	(2,509,171)	(2,341,890)
Financial costs	1,883,994	1,587,210
Post-employment benefits	721,416	894,128
Depreciation	14,886,343	14,658,625
Amortization	1,155,447	1,021,168
Bad debt expenses	543,476	507,889
Gain on valuation of equity method	(122,114)	(18,398)
Gain on disposal of property, plant and equipment	(64,607)	(126,940)
Loss on disposal of property, plant and equipment	90,504	85,489
Impairment losses on intangible assets	187	381,445
Obsolescence and scrapping of inventories	1,145,018	2,789,947
Gain on disposal of investments	(131,873)	(1,137,183)
Gain on disposal of assets classified as held-for-sale	-	(69,924)
Dividend income	(100,924)	(209,619)
Other income/expense	(302,175)	(191,416)
Total	₩ 26,755,486	₩ 23,357,626

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2017	2016
Changes in assets and liabilities :		
(Increase) decrease in trade receivables	₩ (4,469,738)	₩ 1,466,212
(Increase) decrease in other receivables	(224,170)	574,596
(Increase) decrease in advance payments	(409,827)	116,432
Decrease (increase) in prepaid expenses	361,933	(714,042)
Increase in inventories	(8,940,606)	(3,318,236)
Increase in trade payables	3,517,958	3,473,260
Increase (decrease) in other payables	262,412	(77,546)
Increase (decrease) in advances received	6,315	(220,481)
Increase in withholdings	527,843	195,742
Decrease in accrued expenses	(3,052,284)	(990,256)
Increase in provisions	2,722,467	775,666
Payment of retirement benefits	(353,566)	(366,545)
Others	(1,686,277)	654,291
Total	₩ (11,737,540)	₩ 1,569,093